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THE ROLE OF INFLUENCER MARKETING IN FACILITATING INTERNATIONAL EXPANSION FOR SMEs

Bachelor's thesis

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Author's declaration of originality

I hereby certify that I am the sole author of this thesis. All the used materials, references to the literature and the work of others have been referred to. This thesis has not been presented for examination anywhere else.

The document length is 11497 words from the introduction to the end of the conclusion.

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ABSTRACT

A key tactic for small and medium-sized businesses (SMEs) seeking to grow internationally is influencer marketing, which helps them overcome issues with scarce resources and low market awareness. This thesis looks into how influencer marketing helps SMEs expand internationally. The current knowledge gap about how SMEs can use influencer marketing to effectively overcome obstacles and strengthen their presence in international markets is the research problem that needs to be filled. In order to accomplish this goal, the following research questions were looked into: 1) How does influencer marketing impact brand awareness and consumer trust for SMEs in international markets? 2) What factors determine the effectiveness of influencer marketing initiatives in driving the international growth of SMEs? 3) How do cultural and regional differences influence the success of influencer marketing campaigns for SMEs?

Using data gathered from industry professional interviews, a qualitative research method was used. According to insights from 5 interviews, influencer marketing greatly raises customer trust and brand awareness, which makes it easier for SMEs to enter foreign markets. Also we can see from data that was collected that digital technology and use of AI helps keep the track of campaign outcomes. In addition, the study emphasizes how crucial it is to customize marketing strategies according to local customer preferences and cultural norms in order to get the best possible campaign outcomes. For small and medium-sized businesses looking to use influencer marketing as a tool for international growth, this study offers insightful information.

Keywords: SMEs, influencer marketing, qualitative research, international

INTRODUCTION

Small and medium-sized businesses (SMEs) find it difficult to grow abroad in the rapidly evolving global marketplace. These enterprises often lack the funding and name recognition necessary to compete in international marketplaces against bigger firms. Traditional marketing techniques, like print, television, or major internet advertising, can be too expensive for SMEs and cannot generate the right kind of interaction in new markets. Despite all of this, influencer marketing is emerging as a creative and economical solution, providing SMEs with an opportunity to increase their brand awareness and interact with potential customers in many global markets. Social media has transformed how firms interact with customers. The development of these technologies has given even micro-sized organizations the opportunity to compete with the rest of the organizations (Lokuge, S., & Duan, S. 2023). Brand awareness is positively and significantly impacted by influencer marketing. This suggests that influencer marketing initiatives help the target audience become more aware of the brand. (Ramdan et. al, 2023)

The choice of focusing on this subject was made in consideration of influencer marketing's growing popularity and special potential for SMEs. Bloggers, micro-influencers, and other digital content creators have become more influential as social media usage among consumers grows. Because many SMEs still don't fully understand or take use of influencer marketing to help their worldwide expansion, this shift opens up a fresh and timely field of research. Though a lot of research has been done on influencers in large-scale campaigns and digital marketing, not as much has been done on how smaller businesses may use influencers to enter and succeed in

international markets. Due to this knowledge gap, there is a chance to explore if influencer marketing may be a successful international expansion strategy for small and medium-sized businesses.

The current lack of thorough knowledge on how SMEs might use influencer marketing to support their expansion in global markets is the research problem this thesis aims to answer. Even though large corporations have had success using influencers to increase brand awareness and trust, SMEs have certain challenges that set their strategy apart. A lack of brand awareness, tight marketing expenditures, and influencers whose audience fits their niche markets are some of these challenges. Therefore, this study seeks to bring light on how SMEs can successfully use influencer marketing techniques to get past these barriers.

The main objective of this research is to investigate how influencer marketing might help SMEs grow internationally. The study also seeks to determine the factors that contribute to influencer marketing's effectiveness for SMEs, analyze the effects of these tactics on consumer trust and brand awareness, and investigate the ways how regional and cultural differences impact the effectiveness of influencer marketing efforts. The following research questions will be addressed in this project in order to meet these goals:

1. How does influencer marketing impact brand awareness and consumer trust for SMEs in international markets?
2. What factors determine the effectiveness of influencer marketing strategies in driving the international growth of SMEs?
3. How do cultural and regional differences influence the success of influencer marketing campaigns for SMEs?

A qualitative research approach was chosen in order to address these research questions. This method enables a deeper examination of the different personal experiences and perspectives of SMEs that integrated influencer marketing into their global expansion plan. To meet the research goal, primary data were collected through interviews with an interview containing 20 open-ended questions. The participants were 5 business owners or major stakeholders from companies based in Estonia, Azerbaijan and Georgia. Of the four participants in the research, two came from companies in Estonia, two from Azerbaijan and one from Georgia. This technique helped in gaining firsthand information into the implementation of influencer marketing within SMEs operating in these countries.

The thesis is divided into chapters and subchapters to make it easier for readers to comprehend the flow of ideas. The abstract provides an overview of the full research. The chapters that follow are the introduction, theoretical framework, research methods, presentation and discussion of findings, conclusion, and suggestions in order. Finally, references and appendices will highlight all theory sources mentioned throughout this thesis in APA 7th edition format and include transcripts from interviews done during data collection.

1. LITERATURE AND THEORETICAL REVIEW

In this chapter, a theoretical overview of the current literature will be provided for the following: i) introduction to Influencer Marketing, ii) Influencer Marketing and SMEs, iii) the impact of influencer marketing on brand awareness and consumer trust for SMEs, iv) factors that influence the effectiveness of influencer marketing campaigns. These topics will serve as a foundation for the empirical part of this research and provide a summary of findings from previous studies. Lastly, the chapter will highlight the specific challenges and opportunities faced by SMEs when using influencer marketing to enter foreign markets, providing important context for the research.

1.1 Introduction to influencer marketing

In the world of digital marketing, influencer marketing has gained a lot of focus, particularly in context with the exponential growth of social media platforms over the past few years. Brands discovered the far-reaching impact and potential of forging alliances with social media influencers to promote their products. Customers are more affected by and guided by influencers (Arunchokunlamp, Paisarn, 2024). Social media influencers are referred to as people who have built a sizable social network of people following them. In addition, they are seen as a regard for being a trusted tastemaker in one or several niches (De Veirman et al, 2017). Through reliable recommendations, these influencers use their platform to market goods and services, influencing the decisions of their followers to make purchases. Influencer marketing is an effective method for small and medium-sized businesses (SMEs), which frequently lack the funds for traditional advertising, to connect with potential clients. In the swiftly changing landscape of the modern digital era, marketing has experienced a transformative shift of massive magnitude. The development of social media and other internet channels has completely changed how companies communicate with their customers. The rise of influencer marketing has been one of the most noticeable and significant of the many developments in this constantly changing environment. In addition to achieving fame, influencer marketing has spread beyond the boundaries of

massive corporations, extending its reach to include small and medium-sized businesses (SMEs). (Agustian et al. 2023).

Influencer marketing is a definite advantage for SMEs. Since SMEs usually have limited resources, traditional marketing efforts are costly and ineffective compared to major firms, which can put aside huge funds for extensive ad campaigns. In order to overcome global obstacles and improve their operational capabilities, SMEs must embrace strategic marketing methods, according to the important study by Dzisi and Ofosu (2014). Their findings demonstrate the flexibility of SMEs, pointing out that even though businesses frequently encounter strong external pressures, successful marketing strategy implementation can promote mutually beneficial relationships that are essential for international expansion. Brown and Hayes (2008) discovered that by utilizing the reach and influence of people who already have a reputation in particular areas, influencer marketing offers a cheap way to reach targeted audiences. In addition to lowering advertising expenses, this helps SMEs increase consumer trust and brand recognition more quickly. Konstantopoulou et. al, (2019) study the relationship between influencer marketing and SME competitiveness by studying the impact of Instagram influencers on advertising performance. According to their findings, influencer marketing can be a very effective strategy for SMEs wanting to enhance exposure and consumer engagement in the context of Saudi Vision 2030. According to the findings, SMEs' sustainability and resilience in a competitive environment can be enhanced by developing trust through influential relationships.

The growing dependence on social media, where consumers are becoming less receptive to direct advertising and more receptive to suggestions from credible sources, is closely linked to the growth of influencer marketing. For SMEs without a well-known brand, this cultural shift offers a rare chance to become more visible and establish a reliable presence in both home and foreign markets. Despite its explosive growth, influencer marketing is still a developing topic with little scholarly research on how it may be applied specifically for SMEs, underscoring the need for a more thorough knowledge of how it might support international expansion. By investigating how SMEs can use influencer marketing to help their international expansion, this thesis aims to close this gap.

1.2 Influencer marketing and SMEs

When competing with bigger, more established businesses, small and medium-sized businesses face some difficulties. These difficulties are especially noticeable when breaking into foreign markets. Large-scale advertising campaigns are frequently financially impractical for SMEs with limited marketing budgets, forcing them to pursue more economical tactics which provide a significant return on investment.

For SMEs, expanding into foreign markets brings additional difficulties since they have to deal with strange cultural norms and customer expectations. SMEs can get beyond these early obstacles by collaborating with local influencers who are already well-known in the target market. SMEs must make sure that the influencer's values and their brand identity are strongly aligned, which makes the process of choosing suitable influencers difficult. Influencer-brand fit addresses similarities in influencers and brands (Torres et. al, 2019). This connection makes it easier to successfully express to customers the significance and principles of the brand. (Park & Lin, 2020). It is important to remember that working with influencers also requires careful preparation. SMEs need to choose influencers who share their brand, understand their target audience, and work well together to accomplish common goals. (Agustian et. al, 2023).

Additionally, a lot of SMEs lack the internal knowledge needed to effectively handle influencer partnerships. Working with influencers requires more than just buying posts; it also entails creating campaigns that appeal with the influencer's audience while accurately representing the company. This calls for a calculated approach to communication and content production, which can be difficult for SMEs. Influencer marketing is still an option for SMEs to build brand loyalty and expand into new areas, in spite of these challenges. (Boerman et. al, 2017)

1.2.1 Internationalisation and SMEs

Internationalisation is the process by which firms extend their operations outside their native borders in order to compete in foreign markets. In their 2011 study, Ab. Halim

Nik Abdullah & Nizam Mohd Zain, (2011) emphasize that SMEs can generate domestic-led growth while also contributing to global economic competitiveness. They emphasize the complicated nature of the internationalization process, which includes motivations that motivate SMEs to explore international markets, such as market expansion and profit, as well as challenges such as capital constraint and a lack of market expertise. This foundational work lays the groundwork for comprehending the various aspects of SME internationalization.

However, SMEs face many challenges to internationalization, including limited resources and capabilities (Lloyd-Reason et. al, 2009). To address these problems, SMEs can form alliances with partners who have local knowledge (Lu & Beamish, 2001) and use both domestic and international business networks (Elo, 2005). The internationalisation process is not linear and influenced by significant circumstances and the firm's business network, emphasizing the significance of relational networks in establishing a presence in foreign markets (Elo, 2005).

Furthermore, Digitalisation has had a massive effect on SME internationalisation by eliminating entry barriers and increasing international market access. E-commerce has been found to increase international intensity, even while it may concentrate foreign sales in fewer countries (Eduardsen, 2018). Digital platforms, such as Alibaba, have reduced resource limitations and provided access to networks for SMEs entering new markets, but local staff remain critical for success (Jin & Hurd, 2018). The digitization of SMEs has three major advantages: the adoption of ICT and e-commerce platforms, the digitalisation of value chain operations, and knowledge acquisition via digital platforms (Bargoni et. al, 2024). Entrepreneur qualities, product attributes, business capacities, technology adoption, and market conditions all influence a firm's digital orientation, which can lead to early and rapid internationalization (Sia et. al, 2022).

The internationalization process of SMEs has been extensively researched, with numerous theories and models developed to explain this phenomenon. The most well-known frameworks include the Uppsala model, network theory, resource-based approach, and international entrepreneurship theory (Chaldun et. al, 2022). These theories place emphasis on steady expansion, relationship networks, unique resources, and rapid globalization (Lakshman et. al, 2023). However, traditional frameworks may

not be adequate to completely explain SME internationalization in developing countries and modern strategic methods (Lakshman et. al, 2023). According to certain research, SMEs may not engage in systematic planning during the early phases of internationalization. Instead, a hybrid model that combines experiential learning, systematic planning, and contingency views has been proposed (Li et. al, 2004).

Understanding the processes of internationalisation is critical for SMEs that want to expand internationally. SMEs may manage the difficulties of foreign marketplaces and achieve long-term growth by harnessing digital tools, encouraging innovation, implementing personalized strategies, and applying theoretical models.

1.2.2 Cost efficiency and ROI

For SMEs using influencer marketing, cost efficiency and return on investment (ROI) are crucial factors, especially considering the frequently limited budgets. Influencer marketing enables SMEs to achieve targeted reach at relatively lower costs than traditional advertising techniques, which often require large initial investments with unpredictable results. Because of its affordability, SMEs may strategically direct their resources toward efforts that not only have an impact but also support their expansion goals.reference

Influencer marketing's ability to precisely target particular audience segments makes up an important part of its cost effectiveness. Businesses and marketers aim to accomplish their brand goals, which frequently include increasing sales and brand awareness (Chaffey, 2019). Brands can reduce wasteful spending on audiences that are unlikely to become buyers by carefully choosing influencers whose audiences closely match the SME's target demographics. A small company that sells eco-friendly home goods, for example, might partner with sustainability-focused influencers who have a large following of people who are passionate about living sustainably. By avoiding the general and frequently ineffective targeting of traditional advertising, this strategy makes sure that the brand's message reaches a relevant audience, increasing the chance of sales.(Shahzad et. al 2023)

One of the biggest technical benefits of influencer marketing is the ability to measure return on investment. Influencer campaigns offer comprehensive metrics that enable

SMEs to measure efficiency and make data-driven decisions, in contrast to many traditional marketing methods. To assess the effectiveness of their efforts, SMEs can track engagement rates, click-through rates (CTR), conversion rates, and cost per acquisition (CPA). A subscription box service SME, for instance, may monitor the number of people who clicked on a customized discount link that an influencer shared and the proportion of those clicks that resulted in paying consumers. The SME can evaluate whether the campaign achieved its financial goals by determining the precise return on investment (ROI) by comparing the campaign's cost to the revenue from new subscriptions.(Bell et. al 2024)

The scalability of influencer marketing is one technological advantage that SMEs may take use of. SMEs can begin small by testing campaigns with a small number of influencers or micro-influencers, in contrast to traditional marketing that demand large upfront commitments. They can determine which strategies provide the most return on investment and scale up in accordance with those findings by examining the performance indicators of these early campaigns. An SME introducing a new product, for instance, might start with a five-influencer test campaign. The SME was able to identify the most cost-effective influencer partnerships by monitoring engagement, sales, and CPA. They are able to focus resources on areas that have demonstrated impact and reinvest in those techniques that have proven effective.

Additionally, SMEs may streamline campaign administration and track results in real-time with the help of influencer marketing platforms and tools. Brands may find influencers, calculate campaign expenses, and examine performance indicators with the help of platforms like HypeAuditor, Influencity, or Socialbakers (Chhatre, Rohan. 2024). By choosing influencers with strong engagement rates in relation to their prices, these technologies help SMEs further manage their budgets and guarantee ideal return on investment. With the use of such a tool, a SME, for example, can find an influencer whose audience has a high engagement rate of 8% as opposed to the industry average of 2-3%, ensuring that the investment would probably result in a sizable increase in audience interaction.

All campaign-related costs, such as influencer payments, production costs, and any other marketing expenditures, must be taken into consideration when calculating ROI.

This makes it possible to compare the financial investment and the results produced with accuracy (Gracias et. al, 2024). An SME in the fitness sector introducing a new range of resistance bands serves as a real-world example. Instead, the SME works with a fitness micro-influencer who charges \$500 per post and has a 5% audience engagement rate, rather than investing in an expensive digital or television banner ad campaign. The influencer posts a product demonstration on Instagram along with a special coupon code that links to the SME's online store. Assuming a \$30 pricing point per product, the SME might make \$3,000 from a \$500 expenditure if the post receives 50,000 viewers, a 2% click-through rate (1,000 clicks), and 10% of those clicks result in sales (100 transactions). When compared to more generic advertising platforms, this campaign amply illustrates the cost effectiveness of influencer marketing, as proven by its 500% return on investment (\$3,000 revenue - \$500 cost). (Rows.com/ Influencer Marketing ROI calculator)

1.3 Impact of influencer marketing on brand awareness and consumer trust

Influencer marketing's ability to raise customer trust and brand awareness is one of its main benefits; they are both important for SMEs entering new markets. Prior studies show that social network users and other outside factors significantly influence customer behavior (Jiménez-Castillo & Sánchez-Fernández, 2019). A key element of consumer decision-making is brand awareness, which enables prospective buyers to identify and remember a brand when contemplating a purchase. Influencers may quickly expose SMEs' brands to a large audience in overseas marketplaces, frequently producing outcomes that would otherwise require intensive advertising.

Because the new digital world is causing customers to shop and look for information about what to buy in different ways, there is a growing consensus that marketing practices need to be updated to keep up.. "More specifically, traditional media and even traditional digital marketing including sponsored posts, pop-up ads and so on need to be augmented with influencer marketing if they are to achieve their desired results in this significantly evolving digital marketplace". (JARRAR et. al, 2020)

For SMEs, which frequently lack the well-established reputation of larger businesses, trust is particularly important. Influencers help lower perceived risk by promoting the company and serving as a type of social proof. According to a study by De Veirman, Cauberghe, and Hudders (2017), customers are more likely to believe suggestions from influencers because they believe them to be genuine. Influencer marketing offers SMEs, whose small market presence makes it difficult to gain the trust of customers, a calculated method for establishing a solid reputation in international markets. These influencers have the power to evaluate communications and have an impact on digital networks, which makes it possible for messages to go viral quickly. To have a genuine and reliable presence in online communities, brands need to engage with online influencers (AL-Zubaidie et. al, 2024).

One important component of influencer marketing's effectiveness is its genuineness. Because influencers frequently post information in a manner consistent with their typical tone and style, advertisements seem natural rather than forced. Customers find this organic quality appealing because it enables a more authentic and intimate connection between them and the brand. Influencer marketing, which forges an emotional connection between the customer and the company, is viewed as more genuine than direct advertising, which may be viewed as invasive. For SMEs, this connection is crucial because it cultivates enduring loyalty, which allows the brand to expand sustainably into new markets. Their credibility, dependability, and capacity for ongoing engagement provide them influence over their audience. As a result, scholars and professionals need to understand how influencer credibility, customer engagement, consumer trust, and buying intent are all interconnected (Khan, Sherbaz. 2023), also according to Sherbaz (2023), scholars believe that the success of influencer marketing in social media is due to the high credibility consumers can make decisions through information from sources with high credibility and trust.

1.3.1 Role of micro-influencers

For SMEs, micro-influencers offer a particularly beneficial alternative because of their smaller but very active fan bases. In contrast to bigger influencers, micro-influencers frequently have closer ties with their followers, which results in higher engagement

rates. Working with micro-influencers might help SMEs, who usually target certain audiences, achieve greater outcomes since their followers see them as trustworthy and relevant. This sense of authenticity is important for building customer trust and involvement, particularly for smaller companies. However, while smaller influencers will have lower engagement in absolute terms, they tend to have higher engagement rates relative to the total number of followers and a more homogenous follower base (Haenlein, M. et. al, 2020).

Working with micro-influencers has several benefits, one of which is their capacity to produce community-driven content (Haenlein, M. et. al, 2020). Because their fans see them as relatable peers rather than far-off celebrities, their recommendations seem sincere and reliable. Influencers who are relatively less known can be even more effective endorsers (Schouten et, al, 2019). For instance, a fashion micro-influencer who frequently features eco-friendly and distinctive products may partner with a small handcrafted jewelry company. The influencer can directly appeal to a highly engaged audience interested in ethical and handcrafted fashion by including the brand's products in their postings. This could result in considerable interaction and even sales.

The affordability of micro-influencers is still another important advantage. Working with micro-influencers can help SMEs with tight marketing budgets get great results without having to pay the high price tag of celebrity sponsorships. Because of its affordability, SMEs may invest in a variety of influencers, expanding the variety of their campaigns and reaching a wider pool of prospective clients. For instance, a tiny coffee roastery could collaborate with multiple micro-influencers who specialize in travel, culinary, or lifestyle content rather than making a significant investment in a single big influencer. A well-rounded and powerful campaign might be produced by each influencer sharing different aspects of the business, such as flavor profiles, sustainable sourcing procedures, or brewing techniques.(Sudarta, Ida & Mahyuni, Luh. 2024) in the case of coffee shops.

1.3.2 Adapting cultural sensitivities

A key component of effective influencer marketing, particularly for SMEs expanding into foreign markets, is cultural sensitivity. Regional differences in cultural norms and behaviors mean that what appeals to customers in one market may be irrelevant—or even offensive—in another. With their in-depth knowledge of regional traditions influencers may act as crucial intermediaries, assisting SMEs in navigating these challenges and making sure their advertising speaks to target audiences in a genuine way. Working with influencers that have a strong cultural connection to their target consumers is advantageous for SMEs. In order to make the campaign seem genuine and approachable.(Pant, 2024)

In terms of language and images, cultural adaptation is very important. Certain colors, symbols, or words have special implications in various cultures, which may affect how a campaign is understood. Influencers can help SMEs make decisions that will have a positive impact because they are aware of these nuances. For example, when a fashion SME enters the Middle Eastern market, it may collaborate with influencers who are aware of local dress codes and modest fashion trends (Muniyandi et. al, 2024)

In order to avoid maintaining negative stereotypes and cultural biases, brands should take cultural representation into account when developing their marketing strategies (Siddiquee et. al, 2024). SMEs can stay clear of these holds and develop campaigns that truly connect with local audiences by working with influencers who are familiar with the nuances of their culture. Long-term success is made possible by this cultural alignment, which not only increases trust and brand loyalty but also establishes the SME as a considerate and polite participant in the new market. By means of careful planning with culturally adept influencers, SMEs can successfully overcome cultural differences and forge an established reputation in a variety of markets (Pant, 2024). As a real world example that SMEs can take inspiration from, Coca-Cola's influencer marketing initiatives in the Middle East serve as a prime example of the company's strategic approach to cultural marketing, utilizing local relationships and insights to create deep connections with consumers. Coca-Cola effectively increased its brand loyalty and presence in the Middle East by partnering with well-known figures and participating in local celebrations. The company positioned itself as a brand that embraces cultural diversity and promotes happy times spent with friends and family (Pant, 2024). Coca-Cola's Middle East influencer marketing methods prioritize local

cultural knowledge and align with local holidays and customs. Coca-Cola teamed with Muslim influencers to make Ramadan commercials promoting generosity and collaboration, aiming to connect with customers during this cultural event (Pappas et. al, 2016 as cited in Pant, 2024).

1.3.3 TEARS model

The TEARS approach offers SMEs a helpful structure for methodically evaluating and picking influencers. SMEs may find influencers that are not only good at promoting their brand but also fit with their values and strategic objectives by taking into account factors like similarity, respect, expertise, attractiveness, and trustworthiness. The TEARS methodology increases the chances of advertising success by guaranteeing that influencer partnerships are targeted and intentional.

Additionally, the TEARS approach can assist SMEs in overcoming obstacles such as cultural differences. For example, when entering international markets, SMEs can use the model to choose influencers who resonate with local audiences (similarity) and are trusted figures in their respective regions (respect and trustworthiness). Similarly, the model can guide SMEs in selecting micro-influencers who exhibit high engagement. Researchers can gain important insights that can directly benefit influencers, companies, and marketers by using the TEARS methodology. More effective strategies and campaigns may be developed thanks to a better understanding of the factors influencing how consumers respond to influencer marketing (Azhar et. al 2024)

Trustworthiness - The influencer's perceived honesty and integrity are referred to as their trustworthiness. Influencers who consumers consider to be authentic in their recommendations have a greater chance of influencing them. Since trust is frequently a major obstacle when entering new markets, this aspect is particularly important for SMEs.

Expertise - The influencer's perceived knowledge, ability, or authority in a specific field or domain is known as their expertise. For example, a tech reviewer with years of experience in the field or a fitness influencer with personal training certifications are likely to be considered as an expert.

Attractiveness - According to the TEARS model, attractiveness represents more than just physical appearance; it also involves personality and charisma. Influencers are more successful at drawing attention and developing positive feedback about the brand when they are viewed by their followers as interesting and appealing. This quality is especially important on visual platforms like Instagram and TikTok, where audience engagement is greatly influenced by the influencer's appearance.

Respect - The term "respect" describes the audience's admiration for the influencer. Influencers who are well-known for their achievements, moral character, or community service could promote favorable relationships. Responsible behavior, which gradually builds a solid reputation, can frequently be the source of respect.

Similarity - The level of similarity indicates how similar the influencer is to the intended audience. Perceiving influencers as similar to their audience is crucial, and identifying with them must be based on genuine aspirations (Schouten et al. 2019). Customers are more likely to be influenced by people who they believe share their values, way of life, or life experiences. For SMEs aiming to reach niche markets, where relatability can foster closer ties with customers, this quality is particularly crucial.

1.4 Factors influencing the effectiveness of influencer marketing

A number of important criteria determine how successful influencer campaigns are, particularly for SMEs, who face particular difficulties because of their smaller market share. SMEs must carefully consider factors including influencer alignment, audience engagement, platform selection, and content authenticity in order to guarantee a good return on investment from influencer marketing. SMEs may raise their search engine rankings and draw in targeted audiences by creating excellent, relevant content and optimizing it for search engines (Ijomah et al. 2024).

1.4.1 Selection of right platform

The success of influencer marketing initiatives is greatly influenced by the social media platform that is used, especially for small and medium-sized businesses (SMEs). Platform selection is a strategic choice that has a direct impact on the campaign's reach, engagement, and overall efficacy because each platform caters to different target

demographics, content types, and user behaviors. Choosing the best platform helps improve marketing efforts and maximize return on investment (Boro et. al, 2024).

For SMEs to make sure their campaigns are directed at the right demographic, they must have a thorough understanding of the demographics of a platform's user base. For example, marketers aiming to reach millennials and Gen Z consumers will find Instagram and TikTok ideal because of their wide usage among younger demographics (Načiniaková, Katarína. 2024). These platforms give preference to visually appealing content, such images, short films, and reels, which work especially well for sectors like fashion, beauty, and lifestyle. Facebook and LinkedIn, on the other hand, attract a wider age range and professional audiences, respectively, which makes them appropriate for companies that target B2B markets or older consumers. Despite being well-known for influencer marketing, social media sites like Facebook, Instagram, TikTok, and Twitter serve a variety of audience demographics, particularly with regard to viewer demographics and age. (Gerlich, Michael. 2023)

Platforms' regional appeal is just as significant for SMEs looking to expand internationally. For example, while Instagram may dominate in Western countries, platforms like WeChat or Douyin (TikTok's Chinese counterpart) are more relevant in Asian markets (Chen, Kai et. al, 2023). By aligning platform choice with regional user preferences, SMEs can enhance their visibility and engagement in specific markets, ensuring campaigns are culturally relevant.

Different platforms give different kinds of content priority, which affects how marketers interact with their target audiences. Selecting a platform that complements SMEs' marketing goals and content capabilities is essential. For companies that sell aesthetically pleasing goods, like fashion brands, restaurants, or travel agencies, visual-heavy platforms like Instagram, Pinterest, and TikTok are perfect (Olaoye et. al 2024). Platforms with a video concentration, like YouTube, are better at providing in-depth, instructional, or long-form content that enables SMEs to demonstrate their knowledge or describe complicated goods. Platforms like LinkedIn and Twitter, on the other hand, are more text-oriented and emphasize professional interaction. Twitter is particularly useful for brands looking to join trending conversations, while LinkedIn is

suited for SMEs in industries like technology and finance, where professional networking is a priority. (Olaoye et. al 2024)

Selecting a platform for SMEs with tight marketing budgets includes considering cost effectiveness. Platforms like Instagram and TikTok make sense for SMEs seeking to have the biggest effect with the least amount of money because they frequently offer strong engagement rates at relatively lower costs. In contrast, SMEs who target specialized professional audiences or offer specialized products may find that advertising on YouTube or LinkedIn (Table 1) produces better results, but it may also demand larger expenses. SMEs can more efficiently use their resources by closely examining platform-specific advertising costs, engagement rates, and audience reach. The cost-effectiveness of campaigns is further increased by collaborating with influencers who are well-known on these platforms, guaranteeing that marketing funds are spent effectively (Azhar et. al 2024)

Table 1: Social media platforms

SOCIAL MEDIA MARKETING PLATFORMS				
	PEOPLE	CONTENT	STRATEGIES	CONS
	• 25-34 • Boomers	• Photos & links • Information • Live video	• Local mkting • Advertising • Relationships	• Weak organic reach
	• 18-25 • 26-35	• How-tos • Webinars • Explainers	• Organic • SEO • Advertising	• Video is resource-heavy
	• 18-24, 25-34 • Millennials	• Inspiration & adventure • Questions/polls	• Ecommerce • Organic • Influencer	• High ad costs
	• 25-34, 35-49 • Educated/wealthy	• News • Discussion • Humor	• Customer service • Ads for males	• Small ad audience
	• 46-55 • Professionals	• Long-form content • Core values	• B2B • Organic • International	• Ad reporting & custom audience
	• 10-19 • Female (60%)	• Entertainment • Humor • Challenges	• Influencer marketing • Series content	• Relationship building
	• 13-17, 25-34 • Teens	• Silly • Feel-good • Trends	• Video ads • Location-based mkting • App mkting	• Relationship building

**WordStream**
by LOCALIQ

Source: WordStream - Social Media Marketing for Businesses (n.d)

This table (Table 1) illustrates social media platforms, their features they provide for their users, demographics they address, marketing strategies they are effective for and cons.

1.4.2 Authentic content and creative freedom

Authentic content and creative freedom are critical to the success of influencer marketing, especially for SMEs looking to increase trust and engagement with their target audiences. Authenticity is at the heart of influencer marketing's effectiveness; it

allows customers to engage with brands through genuine voices, as opposed to traditional advertising's emotionless tone. For SMEs, making sure influencer-created material feels natural and unforced might mean the difference between a successful campaign and one that fails. (Aljafari, 2019) explores the impact of parasocial interactions on relationship-building between influencers and followers. According to this study, followers' ties with influencers frequently lead to good opinions about brands.

According to Aljafari (2019), brands must not only build a strong identity, but also acknowledge the need of authentic relationships with influencers in order to enhance marketing efficacy. This is consistent with previous findings highlighting the importance of trust and relationship development.

Creative freedom is important in allowing influencers to create genuine content. Ashton Kevin (2019) discusses micro-influencers in the fashion sector. He believes that connecting brand values with those of the influencer is critical for successful collaborations. The emphasis on organic content creation, allowing influencers creative freedom, aligns with Birmingham's (2016) definition of trust.

The findings of Ashton Kevin (2019) indicate that genuine interactions between companies and influencers might result in more effective marketing outcomes, emphasizing the importance of trust and relationship dynamics in influencer marketing.

Furthermore, influencers stamp their social media posts with personal aesthetic touches and personality twists, which typically produce an entertaining experience (entertainment value) for their followers (Lou & Yuan, 2019). By allowing influencers to keep control over how they offer a product or service, SMEs can benefit from content that is consistent with the influencer's established voice and aesthetic, ensuring it resonates with their target audience. However, it is critical for businesses to manage risk and ensure that their marketing goals are accomplished, which leads to the adoption of tight rules and control over performance, which limits creativity and makes influencer marketing less successful (Amiri & Ghourdou, 2024). Instead, SMEs should give influencers the freedom to read and deliver the brand in a way that feels natural to their audience.

This creative freedom also allows influencers to experiment with new formats and styles, increasing the campaign's effect. Lou & Yuan (2019) also note in their study that Influencers appreciate the creative aspect of their profession since it allows them to develop market-relevant material. Creative freedom applies to the channels that influencers choose to use. An influencer's personal understanding of their audience enables them to predict which content types—whether videos, live streams, Instagram stories, or TikTok trends—will be most effective.

2. METHODOLOGY

This chapter of the thesis explains the methods for the empirical portion of this study. The researcher begins by outlining the research methodology. Next, the data collecting and analysis procedures are explained.

2.1 Research design and sampling

A qualitative data analysis approach was picked for this study, with in-depth structured interviews serving as the main technique for obtaining useful data. A qualitative research method called "in-depth interviewing" is conducting in-depth one-on-one interviews with a limited number of respondents to learn more about their viewpoints on a specific concept or initiative (Boyce & Neale, 2006). Exploring and comprehending complicated situations and people's views is the main goal of the qualitative research design study methodology. A qualitative study explores different trends in people's attitudes and opinions (Busetto et. al, 2020). The purpose of qualitative research is to better comprehend a phenomenon rather than generalize it to a larger population (Yin, 1994 as cited in Chopra et. al, 2020). The goal of this study's qualitative research approach is to comprehend the complex nature of influencer marketing on SMEs' international expansion. This design is crucial for giving deep knowledge into how SMEs may successfully use influencer marketing while taking into account regional and cultural differences that have a big impact on marketing tactics. Unlike other methods of gathering data, in-depth interviews have the special benefit of allowing you to connect with interview subjects in a relaxed setting. The interview data will be examined using thematic analysis, which will reveal patterns that provide light on the difficulties and success of influencer marketing in international settings.

The study's participants were chosen through the use of the selective selection technique from purposive sampling method. Four SMEs from a variety of industries, including fashion, furniture, food and educational technology, were selected by the researcher (Table 2). Because these businesses actively participate in influencer marketing initiatives targeted at global expansion, they were considered suitable for the study. Every business uses influencer marketing in a different way to boost market penetration, consumer trust, and brand awareness. The chosen SMEs are renowned for using

influencer relationships strategically to negotiate cultural differences and successfully present their brand identity in various geographical areas.

The chosen businesses demonstrate a variety of influencer marketing strategies, including collaborations with micro-influencers, culturally specific advertising, and creative use of online platforms. These tactics demonstrate their capacity to use influencer marketing to successfully enter international markets and adjust to local consumer needs. The companies were also selected due to their great dedication to developing profitable enterprises in competitive marketplaces and establishing trust through genuine marketing.

Table 2: Company information

Code	Country	Sector	Number of Employees	Experience with Influencer Marketing	Campaign scope
Representative_1	Estonia	Fashion	6	2 years, multiple campaigns	International
Representative_2	Estonia	Fashion	4	1 year, focused campaign	National
Representative_3	Azerbaijan	Food	37	4 years, ongoing campaigns	International
Representative_4	Azerbaijan	Furniture	24	6 months, pilot campaign	International
Representative_5	Georgia	EdTech	90	2 years ongoing campaigns	National and International

Source: Compiled by the researcher.

This table pictures (Table 2) company information who participated in the research. It includes interview code, country they operate, sector, number of employees, experience with influencer marketing and finally scope of their campaign.

2.2 Data collection and analysis methods

Primary data were gathered through interviews during October, November and December 2024. Participants were major stakeholders or owners of small and medium-sized businesses (SMEs) in the fashion, food, furniture and educational technology industries (Table 2). This group was chosen particularly to answer research questions about the impact of influencer marketing on global market expansion.

In total, five interviews were done. In accordance with the participants' wishes, two interviews were done via video calls, allowing for more dynamic engagement and the ability to delve deeper into the interviewees' comments. The other three interviews were conducted via email, which was preferred by the interviewees due to their tight schedules and allowed them to react at their leisure.

The respondents were asked 20 open-ended questions, these questions were compiled by researcher based on the theoretical frameworks and research questions. These questions centered on their experiences with influencer marketing, the techniques used, the cultural modifications made for different countries, and the perceived effectiveness of these strategies in increasing brand visibility and customer trust. This method was useful in gaining thorough insights into the practical applications and consequences of influencer marketing in various contexts.

In this study, thematic analysis was used to identify and analyze patterns in qualitative data acquired from interviews with representatives of small and medium-sized firms (SMEs) who use influencer marketing to grow into foreign markets. Thus, thematic analysis is the foundation of qualitative research, providing researchers with a systematic technique to identify and analyze patterns, or themes, within qualitative data.

The procedure began with transcribing interviews with SME representatives who had effectively used influencer marketing. Each transcript was carefully analyzed to detect common trends that match with the research questions posed in this study. 1) How does influencer marketing impact brand awareness and consumer trust for SMEs in international markets? 2) What factors determine the effectiveness of influencer marketing strategies in driving the international growth of SMEs? 3) How do cultural and regional differences influence the success of influencer marketing campaigns for SMEs?

Participants' responses were then grouped into coded themes based on their similarities. This coding technique enabled an organized approach to data analysis, allowing for a more in-depth knowledge of how SMEs implement influencer marketing strategies in many cultural contexts and markets (Table 3). This thematic approach allowed for the reduction of complex viewpoints into understandable insights, which are critical for addressing the thesis's primary aims (Qaissi, Aziz. 2024).

Table 3: Example of assigned themes and examples of statements, codes, and themes derived from the interviews.

Central Themes	Codes	Interview Extracts
Motivation for facilitating influencer marketing	Origin of strategy Being successful in competitive market	Representative_1: "Before I established this company, I noticed a shift in how consumers connect with brands and realized that traditional marketing approaches were not engaging audiences in new regions..." Representative_2: "It is not only my motivation but also the thing the time has brought us. Without influencer marketing, it is difficult to exist in this competitive market."

Role of Influencer Marketing	Primary Role in Marketing Cost effectiveness Real human connection	Representative_4: "I would say we hire influencers as brand ambassadors, lending credibility and local appeal to our products." Representative_2: "It's an affordable way to connect with local streetwear enthusiasts and a good way for the advertisement too." Representative_3: "Marketing is a different expertise, influencer marketing is a completely different field... perhaps the face of a real human is stronger than just the logo."
Selection Criteria for Influencers	Matching brand values Alignment of aesthetic	Representative_4: "Their aesthetic should complement our designs, and they must have a proven track record of engaging meaningfully with their audience." Representative_1: "We find countries, age groups, interests, and behaviors that are consistent with our brand's values and products. This helps us narrow down our search for influencers with a large following in our target demographic."
Goals of Influencer Campaigns	Brand awareness and sales Long term relationships	Representative_3: "Public recognition and trust. These two main components make a blend of superior marketing toward the local people." Representative_4: "We have few steps for our goals. First we need to establish a footprint in these markets...secondly we aim to create a community of brand ambassadors that work for us and lastly boost up our sales using referrals from these so called ambassadors."
Impact on Brand Visibility	Measuring success	Representative_2: "I would not say that it affected consumer perception but it definitely boosted up visibility..." Representative_1: "The impact has been really valuable. Targeted influencer marketing has significantly increased brand visibility and customer

		engagement."
Cultural Customization	Adapting to local norms Market research	Representative_3: "We use what we call "Gen Z" marketing and pastel colours in our media. Simplicity attracts as long as it's unique." Representative _1: "We invest long hours into researching the market we will expand. We also cooperate with local people to create content that is tailored to the local audience's interests and lifestyle habits."
Ethical Considerations	Transparency and honesty Labeling sponsored content	Representative_4: "Yes, ethical considerations are important, especially when expanding into markets with diverse cultural backgrounds like Turkey. We make sure the influencers we choose align with our brand and our commitment to honesty and integrity." Representative_5: ".To maintain ethical standards, we require all influencers to include clear disclosures, such as hashtags like #ad or #sponsored, regardless of local regulations, to uphold audience trust."

Source: Compiled by Researcher.

3. FINDINGS, ANALYSIS AND DISCUSSION

This chapter includes the findings from five interviews with representatives of SMEs who use influencer marketing tactics for international and national expansion. These interviews were aimed to answer three key research questions: the impact of influencer marketing on brand recognition, the factors influencing its effectiveness, and the impact of cultural and regional differences on its success. The findings are presented topically, according to each research question.

3.1 Impact of influencer marketing on brand awareness and consumer trust for SMEs in international markets

Influencer marketing has emerged as an essential tactic for SMEs looking to increase brand awareness and build consumer trust in global marketplaces. This strategy leverages the regional credibility and influence of carefully selected personalities to facilitate effective brand entry and expansion into new countries.

Representative 1 shared their thoughts on the usage of influencer marketing, emphasizing its importance in naturally introducing their brand into new markets through "regional and trustworthy voices" (Representative_1). They described a campaign in Latvia, highlighting how a local body builder greatly increased brand awareness by honestly displaying their clothing in realistic circumstances. This collaboration not only increased awareness but also strengthened consumer trust by showcasing the product's everyday life usefulness, which "plays an important role in sportswear marketing" (Representative_1).

Similarly, when addressing the approach for Finland, Representative 1 stated tailoring their advertisements to show how their sportswear can resist tough winter conditions, which "is an important selling feature for the local market" (Representative_1). This personalized strategy guarantees that marketing efforts touch with the local consumer base, making promotional activities both relevant and effective.

Representative 2 and Representative 3 underlined the importance of authenticity and strategic influencer connections in reaching target groups and generating sales. Representative 2 discussed the role of influencers in the streetwear industry, where

authenticity and genuine engagement with the audience have a big impact on brand visibility and customer perception. They emphasized how influencer marketing is crucial not only for enhancing brand visibility but also for reaching specific demographics interested in streetwear (Representative_2).

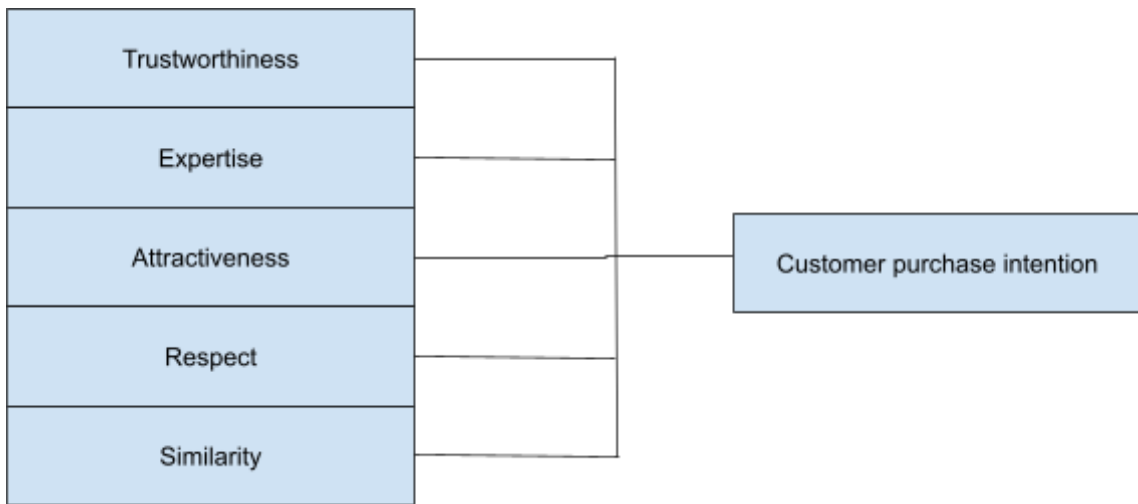
Representative 3 , on the other hand, emphasized the economic benefits of engaging a diverse set of influencers rather than focusing primarily on high-profile ones. This method, they claim, provides for a wider reach and potentially more virality, making it "particularly effective in saturated markets" (Representative_3).

All representatives addressed the thorough process of selecting influencers, emphasizing the importance of a solid fit between the influencers' principles and the brand's culture. Brands that use influencers without first assessing the fit between the influencer and the brand story are more likely to be considered inauthentic (Chopra et. al, 2020). Representative 4 discussed their strategy for entering the Turkish furniture market, stating that they choose influencers whose "Aesthetic should complement our designs" and who can honestly communicate with their audience. This method is crucial in markets where trust and local preferences have a strong influence on purchasing decisions.

It is also important to highlight effectiveness and utilization of micro-influencers. "It has caused us to change our strategies, sometimes preferring micro-influencers over those with large followings in order to attain higher engagement rates. Feedback has helped us discover what types of material resonate the most" says Representative_1. Even though micro-influencers address a smaller fanbase in comparison with popular influencers, their engagement rate is relatively higher for building customer trust and involvement, particularly for smaller companies. "While smaller influencers will have lower engagement in absolute terms, they tend to have higher engagement rates relative to the total number of followers and a more homogenous follower base" noted in research by (Haenlein, M. et. al, 2020).

We can also connect results from interviews to that in influencer marketing, the TEARS model can assist brands in choosing the proper influencers whose characteristics fit with these five criteria. For example, a brand may seek out an influencer who is not only knowledgeable about their product (Expertise) “Aesthetic and professional understanding of marketing are the most effective factors” (Representative_3) ,but also shares their target audience's lifestyle (Similarity), is well-liked (Attractiveness) “They must have a proven track record of engaging meaningfully with their audience” (Representative_4), has a reputation for honesty (Trustworthiness), and is respected in the community. These features ensure that the influencer's endorsements are effective in influencing the audience's purchasing decisions. (Table 4)

Table 4: TEARS model correlation with customer purchase intention



Source: Compiled by researcher

These findings prove how influencer marketing may help SMEs boost brand awareness and consumer trust in foreign marketplaces. It demonstrates how leveraging local influencers who are trustworthy and powerful in their respective regions can help brands enter and expand into new markets more effectively.

3.2 Factors that determine the effectiveness of influencer marketing strategies in driving the international growth of SMEs

Influencer marketing's effectiveness is attributed to a mix of strategic alignment, market adoption, and ethical engagement, as shown by insights from various corporate representatives.

Representative 1 stated the strategic use of influencers to provide a natural entry into new markets, highlighting their ability to demonstrate items in real-world circumstances, which is critical for sportswear marketing. This technique takes advantage of influencers' authenticity as modern-day storytellers, making the brand more relatable and trustworthy in new markets. The selection process is precise, with a focus on identifying influencers that share the brand's values and can authentically engage with the target audience. This is supported by major market research to ensure that campaigns are culturally appropriate.

“Our primary motivation was to expand into the Turkish market. In order to do that we needed to overcome the challenges of introducing a foreign brand into the Turkish market, where local preferences and trust is the most important”(Representative_4) highlighting the importance of trust. The visual compatibility of the influencer's material with the brand's designs is also critical, as it guarantees that the influencers have a track record of significant engagement with their audience. This strategic alignment is critical in the furniture business, because seeing a product in a real-world environment can considerably impact purchasing decisions.

Representative 3 mentioned the cost-effectiveness and viral potential of leveraging lesser-known influencers rather than a single high-profile individual, something that increases campaign reach and engagement. "Instead of paying out 1000 Euros to a single person, you can choose 4 people that accumulate to the same amount and this way have more chances to go viral," (Representative_3). This strategy not only maximizes exposure but also helps the brand achieve its goals of increasing public familiarity, which are critical for success in new markets. Also, according to Representative_1 influencer marketing gave the best ROI in comparison to other marketing strategies they used.

All interview subjects underlined the importance of statistics and tools they use to measure their success while implementing influencer marketing. “We use UTM

parameters to monitor traffic sources and sales from influencer campaigns specifically. This data helps us understand which partnerships and content types are most effective” (Representative_4) which shows that it is crucial to categorise what kind of partnerships and which content types are useful to get maximum ROI from the campaigns. Also according to Representative 3 that hyperlinks give them an idea of how successful and compatible the people they work with are, using these hyperlinks they can track their sales and see how many potential customers they attract.

Another important topic is selection of the right social media platform to introduce influencer marketing. As stated in the theoretical framework, "Choosing the best platform helps improve marketing efforts and maximize return on investment (Boro et. al, 2024)". Also highlighted by Representative_5 "We've adapted to the rise of video-first platforms like TikTok and Instagram Reels by focusing more on dynamic, short-form video content instead of static posts. This shift has been particularly effective in engaging younger audiences". This shows that every platform complements different kinds of demographics and it is important to understand your target customer base and direct your marketing initiatives towards them to maximize the efficacy of influencer marketing efforts.

All subjects emphasize the significance of integrating influencer content with company objectives, as well as the ethical considerations associated with influencer partnerships. They ensure that all promotional information is sufficiently disclosed, thus guaranteeing customer transparency. Furthermore, the representatives emphasize the importance of continuous evaluation of influencer campaigns using a robust set of metrics such as engagement rates, click-through rates, and conversion rates, which help measure the success of the campaigns and guide future campaigns.

3.3 Influence of cultural and regional differences on the success of influencer marketing campaigns for SMEs in foreign market

Cultural differences highly affect whether an influencer marketing campaign is successful or not. Thus researcher looked into how SMEs get past these differences and execute successful campaigns. When asked about how they get past these difficulties, representatives who ran campaigns in international markets agreed that it's important to

integrate the foreign culture into your operations to gain trust of consumers, they also noted that local influencers are major players who help them the most. One representative noted that they invest long hours to research and deeply understand cultural norms, what is accepted in this region or what is not, “We also cooperate with local people to create content that is tailored to the local audience's interests and lifestyle habits” (Representative_1). While on the other hand Representative_4 noted they are doing everything in their power to gain trust of people in the Turkish market since trust is the main reason that affects the purchasing decisions of people in that market. Trust is a fundamental concept that leads consumers to purchase goods or services from unknown vendors because they believe in the quality of the product (Akhter et al., 2004). Especially in the food industry Representative 3 noted that “it is important in the food industry that you customize your products according to local taste, what is considered tasty in Azerbaijan cannot be also considered tasty in Russia”. In addition, Representative_5 noted ”We tailor our graphics, slang, and tone to local tastes, such as employing region-specific endorsements to increase relatability. By localizing both content and delivery, we ensure that our ads resonate genuinely with a wide range of people, establishing deeper connections and trust in each region”.

These opinions highlight the importance of an effective approach to influencer marketing that takes into account the cultural and regional differences of each market. The effectiveness of such campaigns is dependent on SMEs' capacity to adapt to the cultural obstacles that develop during foreign market expansion.

3.4 Discussion and recommendations

Small and medium-sized enterprises (SMEs) using influencer marketing in their international expansion plans demonstrate an advanced awareness of digital engagement and strategic audience connection. The results show that SMEs have effectively employed influencer marketing to raise brand awareness across a range of markets. The study's participants demonstrated a thorough understanding of influencer marketing dynamics, which aligns with their objectives of successfully breaking into international markets. To make sure that every campaign relates to both present and future customers, they included influencers in their marketing strategies, emphasizing authenticity and strategic alignment with brand values.

According to the interviews, the participants are looking for influencers who share their core values and are consistent with their brand's identity. It is challenging for SMEs to select appropriate influencers since, as Torres et al. (2019) point out, they need to make sure that the influencer's values and their brand identity are highly compatible. Similarities between influencers and brands are addressed via influencer-brand fit. This strategic choice is crucial because it guarantees that marketing initiatives are felt by the audience in addition to being visible, which promotes relatability and emotional ties.

Additionally, SMEs must devote time to comprehending regional preferences and consumer behavior due to differences in culture among target markets. One participant, for instance, emphasized the significance of avoiding a one-size-fits-all strategy for influencer marketing by customizing campaigns to appeal to various cultural contexts. In addition to improving marketing efficacy, this sophisticated strategy strengthens brand legitimacy in the eyes of a wide range of international audiences.

The use of influencer marketing by SMEs is made more complex by the internationalization process, which is the extension of operations outside of their own borders in order to compete in international markets. While overcoming obstacles including limited funding and a lack of market knowledge, SMEs contribute to global economic competitiveness, according to studies like those by Ab. Halim Nik Abdullah and Nizam Mohd Zain (2011). To overcome these obstacles and allow SMEs to enter international markets, relational networks have become essential (Elo, 2005).

Additionally, by eliminating barriers to entry and expanding access to international markets, digitalization has had a major impact on SME internationalization. Digital solutions, such as e-commerce platforms, give SMEs ways to communicate with customers throughout the world and internationalize more quickly (Eduardsen, 2018). By increasing visibility and opening doors for SMEs to more effectively enter new markets, these tools support influencer marketing tactics.

These SMEs carefully prepare their influencer marketing strategies. Long-term relationships with influencers are preferred by participants over short interactions. This

method promotes a consistent and adaptive brand story, which is more likely to result in enduring consumer interactions. “To scale efficiently, we are also looking into long-term ambassador programs in key markets, where influencers may become ongoing advocates for our brand rather than one-time collaborators. This will result in long-lasting partnerships with local communities,” Representative_5 stated. The focus on long-term collaborations not only increases audience trust but also helps SMEs establish more solid local market roots, opening the door for natural expansion and closer ties to the community.

The role of micro-influencers in SME marketing strategies is another important finding from the study. Even though popular influencers offer wide visibility, SMEs often prefer working with micro-influencers due to their niche appeal and deeper engagement with specific communities. This tactic maintains high levels of customer connection and confidence while complying with financial limits. For SMEs looking to enter new markets, micro-influencers are especially helpful in creating a sense of relatability and loyalty among their followers, which results in increased conversion rates.

According to this study, SMEs' usage of influencer marketing shows a well-thought-out strategy for international market expansion. In addition to helping in reaching new markets, the focus on genuine and culturally aware influencer relationships creates a foundation for future expansion. This strategy demonstrates a deep comprehension of the complicated dynamics of international marketing and the critical role influencers play in bridging the cultural and geographic divide between businesses and consumers. Through the use of strategic influencer partnerships, SMEs establish themselves as adaptable and innovative participants in a global market that is becoming more and more competitive. These strategies demonstrate their capacity to change with the digital marketing environment and the evolving tastes of consumers throughout the world. For SMEs hoping to achieve successful international expansion, it is important to understand the internationalization procedures. SMEs are capable of handling the difficulties of international markets while embracing chances for long-term success by combining influencer marketing with digital technologies and relational networks.

To conclude, the information gathered from the interviewees show that the approach to influencer marketing has been diverse depending on the industry and objectives.

Representative 1 explained the shift from the conventional advertising to the storytelling model of advertising through influencers; according to him, influencers are the ‘modern-day storytellers’ who create trust and connection (Representative_1). Similarly, Representative 2 explained influencer marketing as a necessity in the current world where competition is high by calling it a “cost-effective method of reaching out to local streetwear lovers” (Representative_2). Representative 3 explained that influencers help with establishing credibility and create an emotional link, saying that “a real person’s face is more effective than the logo” (Representative_3). As for Representative 4, aiming at the niche furniture market, influencers were viewed as the brand’s representatives who could offer the needed ‘regional’ touch and demonstrate the products in real-life settings (Representative_4). On the other hand, Representative 5 aimed at focusing on building trust in the educational technology field and using influencers to humanize their campaigns (Representative_5).

The selection criteria for influencers was different among the companies. Representative 1 focused audience demographics, engagement rates and brand values, ensuring relevance with strategies such as social media analytics (Representative_1). Representative 2 stressed genuine followers and high engagement, mentioning the need of "authentic connections" (Representative_2). Representative 3 prioritized cost-efficiency, preferring relationships with several micro influencers to increase reach (Representative_3). Representative 4 was seeking influencers whose aesthetics aligned with their niche, while Representative 5 also prioritized niche relevance, specifically targeting educators and tech enthusiasts (Representative_5).

When it comes to problems, cultural differences came out as a common topic. Representative 1 stated that customizing marketing to local tastes required considerable work, such as promoting unique product advantages for different regions. Representative 2 discovered that mismatched influencer audiences restricted marketing, but Representative 3 emphasized the importance of transparent contracts to avoid misaligned content (Representative_2, Representative_3). Representative 4 encountered fewer cultural obstacles, but struggled with finding appropriate influencers for their niche. For Representative 5, dealing with language barriers and local preferences was a major challenge.

Each representative presented a unique perspective on evaluating success. Representative 1 tracked performance using engagement rates and ROI result\, whereas Representative 2 measured direct sales impact using promo codes. Representatives 3 and 4 used traffic analytics and UTM parameters, respectively, to track campaign results (Representative_3, Representative_4). Representative 5 tracked engagement rates and app downloads to underline the importance of ROI analysis.

In conclusion, while the representatives shared an appreciation for influencer marketing, their tactics were tailored to industry-specific demands. Their experiences show the importance of authenticity, cultural adaptation, and data-driven decision-making in running effective campaigns.

Based on the findings and analysis of the results some recommendations can be provided for SMEs that are looking to utilize influencer marketing for their future plans.

1. Ensure that influencers not only share your brand's ideals, but also reflect the cultural differences of your target markets. This will boost up your campaign's relevance in the target markets.
2. Rather than simply having a large following, prioritize influencers with high engagement rates. Influencers with a deep connection to their audience can provide more credible endorsements. Try to collaborate with young professionals who are willing to grow with you.
3. Develop long-term connections with influencers to maintain consistency. Long-term collaborations enable changing stories that may respond to changing market circumstances and consumer preferences.
4. Use influencers' local knowledge to tailor marketing techniques to the cultural and social contexts of each target market. Create locally relevant content. This may include changing the language, tone, images, and even the platform in line with regional tastes and consumer behavior.
5. Set measurable targets for influencer efforts, such as improved brand awareness, engagement rates, or direct sales conversions.
6. Maintain strong ethical standards in every deal. This involves providing fair compensation to influencers and respecting their creative autonomy.

7. To maintain audience trust, make sure that all sponsored content is properly stated. This promotes trust while adhering to advertising standards.
8. Don't limit campaigns to a single platform. Different markets may have preferences for various social media sites. Understanding where your target audience spends the majority of their time can help you choose the best platform
9. Combine influencer marketing with other digital marketing methods, such as SEO, email marketing, and content marketing, to create a full strategy.

The findings of this thesis show how influencer marketing dramatically increases brand visibility for SMEs, particularly during international growth initiatives. SMEs can efficiently increase their market presence by strategically associating with influencers whose followers are similar to their target audience. Building long-term connections with influencers enables ongoing engagement and a consistent brand message, which is critical for retaining market presence. Furthermore, personalizing information to diverse cultural contexts, monitoring and adapting based on engagement metrics, improves the efficacy of marketing tactics. These principles from this research can help SMEs leverage influencer marketing to broaden their reach and strengthen their brand on a global scale.

CONCLUSION

The first research question looks into how influencer marketing affects brand awareness and consumer trust among SMEs in foreign markets. The thesis findings show that influencer marketing increases brand recognition by using influencers' reputation. Influencers, as trustworthy people, have a powerful capacity to increase brand visibility. Their endorsements help to prove the SMEs' value propositions by transforming personal trust with their followers into trust in the SMEs' brand. This shift in confidence is critical in international markets where SMEs lack local market knowledge. To potential consumers who are suspicious of foreign brands, the influencers' endorsement symbolizes reliability. Strategic involvement between SMEs and influencers is also important for improving the impact on consumer trust. It is critical to select influencers whose brand values and audience demographics parallel those of the SME. An influencer whose followers fit the SME's target consumer profile can significantly increase the relevance of the marketing effort. Furthermore, long-term cooperation with influencers outperform one-time commercials in terms of establishing long-term trust. These connections enable influencers to integrate the SME's brand into their content in a more genuine manner, which the audience perceives as more real and less promotional.

The thesis addresses the second research topic, which concerns the factors that control the efficiency of influencer marketing techniques in driving SMEs' worldwide expansion. Strategic alignment between the influencers' brand and the SMEs brand message is critical. Influencers whose brand values align with those of the SME are more likely to create authentic and successful endorsements. Authenticity is important in influencer marketing efforts since it increases the credibility of the commercials, making the promotional content more approachable to the target audience. Furthermore, the strategy behind content customization ensures that the information is suited not only to a broad audience but also to the SME's target segments has a significant effect on campaign success. Successful influencer marketing involves more than just product placement; it also includes crafting content that effortlessly integrates the product into the influencer's lifestyle or ideals. This storytelling method not only increases engagement rates by making the content more engaging. Finally, using metrics to modify influencer techniques is a key aspect in their effectiveness. SMEs who use a

data-driven strategy to track the results of their influencer initiatives can acquire useful insights into what works and what does not. Metrics like engagement rates and conversion rates provide visible proof of a campaign's effectiveness. This analytical approach enables SMEs to consistently adapt their strategy, such as focusing more on specific types of content, changing their influencer roster, or modifying call-to-action messages to increase conversion rates. This shows that keeping your technology in line with new digital innovations is important, by utilizing these technologies such as AI, SMEs can ensure that they are getting their well deserved ROI from their influencer marketing campaigns.

The third research question, which analyzes how cultural and regional differences affect the performance of influencer marketing initiatives for SMEs in global markets, uncovers the complex relationship between cultural nuances and marketing efficacy. Cultural specificities have a significant impact on the outcomes of influencer marketing techniques because they directly affect how marketing messages are received and processed by the intended audience. Influencers who can truly represent their culture offer important perspectives that assist SMEs in crafting messages that resonate strongly with local audiences. This resonance is fundamental to the brand's acceptability and success in new markets. For example, as mentioned in interviews, an influencer in Finland might emphasize the durability of a product and its resistance to harsh winter conditions, aligning the message with local preferences which are important in the Finnish market. The success of influencer marketing also depends on how well marketing activities are tailored to local norms . This involves understanding the subtle cultural cues and societal standards that influence customer behavior. Colors, symbols, and even numbers that are considered lucky or positive in one culture may be neutral or even harmful in another. Language and communication styles have a huge impact on how effective influencer marketing is. Influencers who can communicate in the local language and adapt the regional communication style can make marketing messages more accessible.

In summary, the study of these three research questions in this thesis reveals that influencer marketing is a useful technique for SMEs seeking to develop worldwide. The technique uses influencers' reach to overcome the difficulties of minimal brand recognition and resources. SMEs may greatly improve their visibility and

trustworthiness in a variety of international markets by partnering with influencers that share similar brand values and have a thorough awareness of their cultural context.

However, it is important that we acknowledge the study's limitations. Because of the small size of the research sample, the chosen research technique is vulnerable to bias. The limited number of participants may have influenced the results, stressing the importance of cautious evaluation. Additionally, the study's focus on only five countries limits its relevance to the worldwide influencer marketing strategies adopted by SMEs. Measuring external validity in this study is challenging due to the selective sampling strategy and limited participant selection.

Furthermore, one of the firms' campaign scopes was local; this distinction may result in certain limits, particularly when considering how influencer marketing operations vary depending on whether they are worldwide or local. The study did not include consumers, who play an essential part in influencer marketing. The study's participants did not accurately represent the companies who adopted influencer marketing as a whole.

Structured documentation and thematic analysis were used to assure reliability. Thus, the study results can be related to specific findings. However, interview-based data gathering can be challenging to replicate due to the dynamic nature of social practices and situations. While the findings from this study provide interesting insights into the subject, they must be viewed with caution due to its major limitations.

And lastly, it's important to say that findings from this research are not limited to sectors that are mentioned in this research. Such research can be applied to any other sector in which the SMEs operate. Furthermore, the scope of this research extends beyond SMEs; well-known businesses and even individuals such as politicians may employ similar tactics to implement influencer marketing, for example we can show 2024 United States elections.. The adaptability of this research offers up potential for any type of enterprise and people, and it helps to explore the broader implications of effective influencer marketing.

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APPENDICES

Appendix 1. Interview questions

Research questions	Interview questions
1. How does influencer marketing impact brand awareness and consumer trust for SMEs in international markets?	1. How has influencer marketing impacted your brand's visibility and consumer perception in these international markets? 2. Could you share a successful case where influencer marketing directly contributed to increased sales or market growth? 3. How has consumer feedback influenced your approach to influencer marketing? 4. How does influencer marketing fit into your future plans for expanding into other international markets?
2. What factors determine the effectiveness of influencer marketing strategies in driving the international growth of SMEs?	1. What specific goals do you aim to achieve through influencer marketing in new markets? 2. In your experience, what are the key factors that determine the success of an influencer marketing campaign in international markets? 3. Can you describe any adjustments or shifts you've had to make in your influencer marketing strategies over time? 4. What advice would you give to other SMEs considering using influencer marketing for international expansion? 5. Are there any specific trends or changes in influencer marketing that you anticipate will affect your future campaigns? 6. What role does digital technology play in managing and optimizing your influencer marketing campaigns? 7. In your experience what are the key factors that determine the success of

	an influencer marketing in international markets
3. How do cultural and regional differences influence the success of influencer marketing campaigns for SMEs in foreign markets?	1. Can you describe how you select influencers for your international campaigns? What criteria are most important? 2. How do you tailor your influencer marketing campaigns to fit the cultural norms of new international markets? 3. What measures do you take to ensure the content created by influencers aligns with your brand values? 4. Have you encountered any ethical considerations while running influencer campaigns, especially in foreign markets? If so, how have you addressed them? 5. What challenges have you faced when implementing influencer marketing strategies abroad?
General questions to get more information	1. How do you define the role of influencer marketing within your overall marketing strategy? 2. What initially motivated your company to use influencer marketing for international expansion? 3. Looking ahead, what are the biggest opportunities and threats you see for influencer marketing in your sector? 4. How do you ensure ongoing engagement and relationships with influencers after a campaign ends?

Source: Created by researcher

Appendix 2. Interview transcript

Temporary transcript link [Interview transcript](#)

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